CARE MANAGEMENT SERVICES AGREEMENT

between Independent School District No. 2817 (Red Cedar Valley Schools), Minnesota, and Northcourt Care Partners, LLC

Agreement No. RCV-2027-014

Excerpt for the District's benefits file: Recitals and Schedule C. The body of the Agreement and Schedules A (Services), B (Administrative Fees), D (Data Exchange) and E (Business Associate Agreement) are held by the Business Office.

RECITALS

A. The District sponsors the Red Cedar Valley Schools Employee Health Plan (the "Plan"), a self-insured group health plan for eligible employees, early retirees under age 65 and their dependents. Ellery Benefit Administrators administers medical claims under the Plan and Quarrystone Rx administers pharmacy claims.

B. On 13 January 2025 the District issued Request for Proposals 2025-07 for high-cost care management services for a programme year beginning 1 April 2025. Northcourt submitted a proposal on 28 February 2025 and on 18 March 2025 the School Board approved a recommendation to award the contract to Northcourt, subject to an agreement.

C. On 8 April 2025, before any agreement was signed, the School Board suspended the award under the District's budget freeze for the 2025-26 fiscal year. No agreement was executed under RFP 2025-07 and Northcourt provided no services to Plan members before the Effective Date.

D. On 9 February 2027 the School Board authorised the Superintendent to enter into this Agreement with Northcourt for the Programme Year on the terms set out below.

NOW, THEREFORE, in consideration of the mutual promises in this Agreement, the District and Northcourt agree as follows.

[Sections 1 to 14 of the Agreement not reproduced.]

SCHEDULE C
BASELINE AND SAVINGS

C.1 **Definitions.** In this Schedule:

(a) "Allowed Claims" means the allowed amount of medical and pharmacy claims for covered services to a member, including the member's deductible, copayment and coinsurance. Pharmacy claims are taken before manufacturer rebates. Claims are taken net of replacement claims, voided claims and pharmacy reversals. No deduction is made for reimbursements under the District's stop-loss insurance. A medical claim is incurred on its first date of service and a pharmacy claim on its date of fill.

(b) "Member Month" means a calendar month in which a member is enrolled in the Plan on the first day of the month.

(c) "Data Cut-Off Date" means 28 February 2027.

(d) "Final Enrolment List" means the list of members delivered by Northcourt under Section 3.2 on claims paid through the Data Cut-Off Date. "Enrolled Members" means the members on the Final Enrolment List, and a member's "Risk Tier" is the tier assigned to the member on that list.

(e) "Programme" means the Services described in Schedule A, and "Programme Year" means the twelve months from 1 April 2027 to 31 March 2028.

(f) "Trend Factor" means the annual medical and pharmacy trend rates adopted in the District's most recent renewal of Plan funding rates.

(g) "Baseline PMPM" means, for each Risk Tier and separately for medical and for pharmacy Allowed Claims, the Allowed Claims per Member Month that the Enrolled Members in that Risk Tier would be expected to incur in the Programme Year in the absence of the Programme. Experience from an earlier period that is used to determine a Baseline PMPM is projected by multiplying it by one plus the Trend Factor, raised to the power of the number of months from the midpoint of that period to the midpoint of the Programme Year divided by twelve.

(h) "Programme Baseline" means the Baseline PMPMs averaged across the Risk Tiers, weighted by the number of Enrolled Members in each Risk Tier, for medical, for pharmacy and in total.

(i) "Actual PMPM" means, for each Risk Tier and separately for medical and for pharmacy, the Enrolled Members' Allowed Claims incurred in the Programme Year and paid by 30 June 2028, divided by their Member Months in the Programme Year.

C.2 **Certification.** Before the start of the Programme Year the District will certify to Northcourt in writing, following approval by the School Board, the Baseline PMPM for each Risk Tier and benefit and the Programme Baseline. The certification will also show, for each Risk Tier, the number of Enrolled Members and their Allowed Claims per Member Month for calendar year 2026 as paid through the Data Cut-Off Date, without completion. Amounts are stated in whole dollars and no amount is rounded before the final figure.

C.3 **Savings.** For each Risk Tier and benefit, Savings equal the Baseline PMPM less the Actual PMPM, multiplied by the Enrolled Members' Member Months in the Programme Year in that Risk Tier. Programme Savings are the sum of Savings across Risk Tiers and benefits; a negative result for one Risk Tier or benefit reduces the total.

C.4 **Shared Savings Fee.** Northcourt is entitled to 40 per cent of Programme Savings, if positive, up to a maximum of $900,000 for the Programme Year. The Shared Savings Fee is in addition to the administrative fee in Schedule B and is payable within 45 days after the reconciliation becomes final.

C.5 **Reconciliation.** The District will deliver to Northcourt a reconciliation of Programme Savings by 31 August 2028, on claims paid through 30 June 2028, with the member-level detail Northcourt reasonably needs to check it.

C.6 **Disputes.** Either party may dispute the certification under C.2 or the reconciliation under C.5 by written notice within 30 days of receiving it. A dispute the parties do not settle within a further 30 days will be referred to an independent actuary who is a Fellow of the Society of Actuaries and a Member of the American Academy of Actuaries, appointed jointly by the parties. The actuary's determination is final and binding, and the parties share the actuary's fees equally.

C.7 **Plan changes.** If the District changes Plan benefits during the Programme Year, the parties will adjust the affected Baseline PMPMs in good faith to reflect the change.

INDEPENDENT SCHOOL DISTRICT NO. 2817	**NORTHCOURT CARE PARTNERS, LLC**
By: Sandra Lopez	By: Phillip Alvarado
Superintendent	Chief Operating Officer
Date: 16 February 2027	Date: 16 February 2027